

EF5342 Financial Systems, Markets and Instruments

Week 9 — Funds

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Investment Companies: Pooling Investor Funds

Part 1 — Mutual Funds and ETFs: overview of investment companies; mutual funds; ETFs and the rise of passive investing.

An **investment company** pools the funds of individual investors and invests in a wide range of securities/assets. Each investor has a claim to the portfolio in proportion to the amount invested — small investors “team up” to obtain the benefits of large-scale investing.

Benefits over investing yourself:

Diversification Small investors diversify across companies, sectors, and countries

Low minimum investment Relatively low minimums encourage small investors to participate

Professional management Professional portfolio managers pursue superior performance

Trading convenience Trade one fund instead of hundreds of individual securities

Costs of Investment Companies

Additional layer of fees Fees and expenses are due regardless of fund performance

Lack of control Investors cannot ascertain the exact make-up of the fund's portfolio at any time, nor directly influence which securities the manager trades or the timing of those trades

Conflicts of interest Manager performance is measured against an index benchmark, not absolute returns — no strong incentive to deviate: underperformance after deviation risks the manager's job, while the gain from outperforming is small

Net Asset Value (NAV)

The **NAV** is the current market value of the investment company's assets, minus its liabilities (e.g., fund expenses), divided by the number of shares outstanding:

$$\text{NAV} = \frac{\text{Market value of assets} - \text{Liabilities}}{\text{Shares outstanding}}$$

The market value of a fund's assets is determined by the market price of those assets if available; if a price is not readily available, by a fair value determined in good faith (internal models and third-party appraisals).

NAV Calculation: Example

A mutual fund holds 1,000 shares of Walmart at \$63.75, 1,000 shares of ExxonMobil at \$86.00, and 1,400 shares of AT&T at \$33.66. It has no liabilities and 15,000 shares outstanding:

$$\text{NAV} = \frac{1,000 \times \$63.75 + 1,000 \times \$86 + 1,400 \times \$33.66}{15,000} = \$13.125$$

Tomorrow Walmart falls to \$59.6, ExxonMobil rises to \$104, and AT&T falls to \$20 (shares outstanding unchanged):

$$\text{NAV} = \frac{1,000 \times \$59.6 + 1,000 \times \$104 + 1,400 \times \$20}{15,000} = \$12.77$$

Open-End vs. Closed-End Funds

	Open-End Funds	Closed-End Funds
Shares outstanding	Changes when new shares are sold or old shares are redeemed	Fixed
Pricing	Fund share price = net asset value (NAV)	Fund share price may trade at a premium or discount to NAV

Types of Mutual Funds: Money Market Funds (MMFs)

Invest the majority of their assets in short-term liquid money-market instruments such as T-bills and commercial paper. **Goal:** a higher return, after fees and expenses, than traditional bank savings or checking accounts.

Two types:

Government MMF Invests at least 99.5% of total assets in cash, government securities, and/or repurchase agreements collateralized by government securities

Prime MMF Invests mainly in commercial paper issued by corporations and bank certificates of deposits

Types of Mutual Funds: Equity Funds

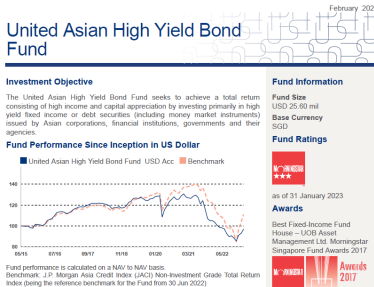
- Invest mainly in common stocks of publicly listed companies
- Generally have a specific objective — “large-cap,” “small-cap,” “value,” “growth” — relating to the types of stocks held
- Goal: outperform their index benchmarks

Details ?		MORE >	
Morningstar Category		Fund Inception	
Large Growth		5/2/1963	
Exp Ratio (Gross)		Exp Ratio (Net)	
0.77%	5/30/2020	0.77%	5/30/2020
NAV		Minimum to Invest	
\$12.74	3/9/2021	\$0.00	
Turnover Rate		Portfolio Net Assets (\$M)	
54%	9/30/2020	\$21,443.64	2/28/2021

Figure: Fidelity Magellan Fund — one of the best-known actively managed equity funds

Types of Mutual Funds: Bond Funds

- Invest mainly in fixed-income securities
- Specific objective — “corporate,” “municipals” — relating to the types of bonds held
- Most also have a maturity objective relating to the average maturity of the portfolio's bonds
- Goal: outperform their benchmarks



United Asian High Yield Bond Fund

Types of Mutual Funds: Four More Categories

Sector funds Equity funds concentrating on a particular industry (e.g., Fidelity Select Health Care)

International funds Invest in securities of firms located outside the United States

Balanced funds Invest in both equities and bonds in relatively stable proportions

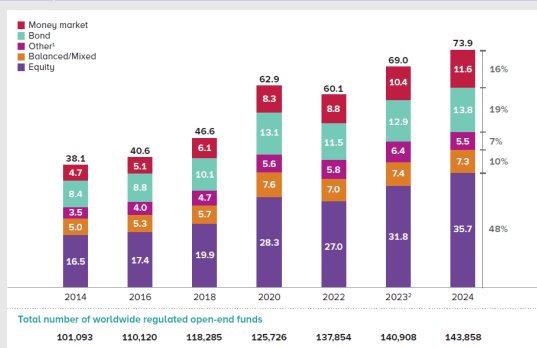
Asset allocation funds May dramatically vary the proportions allocated to each asset according to the manager's forecast of relative performance

Growth of the Mutual Fund Industry

FIGURE
1.2

Total Net Assets of Worldwide Regulated Open-End Funds Increased to \$73.9 Trillion in 2024

Trillions of US dollars by type of fund, year-end



¹ Other funds include guaranteed/protected funds, real estate funds, and other funds.

² Data for New Zealand are for 2023:Q2.

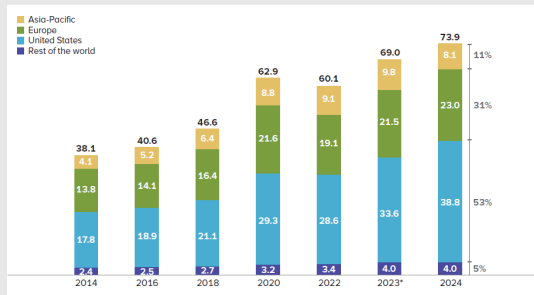
Note: Regulated open-end funds include mutual funds, ETFs, and institutional funds.

Source: International Investment Funds Association

FIGURE
1.3

The United States Has the Largest Share of Total Net Assets of Worldwide Regulated Open-End Funds

Trillions of US dollars by region, year-end



* Data for New Zealand are for 2023:Q2.

Note: Regulated open-end funds include mutual funds, ETFs, and institutional funds.

Source: International Investment Funds Association

Source: 2025 Investment Company Factbook

Mutual Fund Returns: Three Ways to Earn

Income distribution The fund earns dividends and interest on its portfolio securities and pays shareholders nearly all of this income (minus disclosed expenses) as dividends

Capital gains distribution When the fund sells a security that has increased in price, it has a capital gain; at year-end most funds distribute these capital gains (minus capital losses) to investors

Increased NAV If the market value of the portfolio increases after deduction of expenses and liabilities, the fund's NAV increases

Costs of Investing: Fee Structure

Fee	Definition	Timing
Operating expenses	Annual costs of operating the portfolio — administrative expenses and advisory fees paid to the investment manager; range 0.5%–1.25% of total assets	Recurring
Front-end load	Commission or sales charge paid when purchasing shares; reduces the amount available to buy fund shares	One-time
Back-end load	“Exit” fee incurred when shares are redeemed; normally depends on the holding period and decreases to zero if held long enough	One-time
12b-1 fees	Annual fees charged to pay for marketing/distribution costs; limited to 1% of a fund’s average net assets	Recurring

Fee Structures Vary Across Share Classes

Mutual funds may offer different share classes representing ownership in the *same* portfolio, but with different combinations of sales load and 12b-1 fees. An investor's **holding horizon** drives the choice between a higher front-end sales load and a higher 12b-1 fee.

Example 4.2 Fees for Various Classes

The table below lists fees for different classes of the Dreyfus High Yield Fund in 2016. Notice the trade-off between the front-end loads versus 12b-1 charges in the choice between Class A and Class C shares. Class I shares are sold only to institutional investors and carry lower fees.

	Class A	Class C	Class I
Front-end load	0–4.5% ^a	0	0
Back-end load	0	0–1% ^b	0% ^b
12b-1 fees ^c	0.25%	1.0%	0%
Expense ratio	0.7%	0.7%	0.7%

^aDepending on size of investment.

^bDepending on years until holdings are sold.

^cIncluding service fee.

Mishkin (2024), 13th edition — fee schedule of the Dreyfus High Yield Fund share classes

Impact of Costs on Performance: Class A vs. Class C (4-Year Horizon)

Setup. The Investments Fund sells Class A shares with a 6% front-end load and no 12b-1 or back-end load fees; Class C shares carry 12b-1 fees of 0.5% annually plus back-end load fees that start at 5% and fall by 1% for each full year held (until the 5th year). The portfolio's return net of operating expenses is 10% annually. With \$1,000 to invest and a 4-year horizon:

- **Class A:** invest \$940 net of load $\Rightarrow \$940 \times (1 + 10\%)^4 = \$1,376.25$
- **Class C:** invest the full \$1,000 at 9.5% net of 12b-1 fees, then pay a 1% back-end load:
 $\$1,000 \times (1 + 9.5\%)^4 = \$1,437.66$, and $\$1,437.66 \times 0.99 = \$1,423.28$

Class C is the better choice for a four-year horizon.

Impact of Costs on Performance: The 15-Year Horizon

Class A: $\$940 \times (1 + 10\%)^{15} = \$3,926.61$

Class C: no back-end load since the horizon exceeds five years, so
 $\$1,000 \times (1 + 9.5\%)^{15} = \$3,901.32$

With a longer horizon, Class C is no longer better: the 0.5% annual 12b-1 fee *accumulates* over time and eventually overwhelms the one-time 6% front-end load of Class A.

Index Funds

- Seek to *replicate* (rather than beat) the performance of a benchmark index — e.g., an S&P 500 index fund closely tracks the S&P 500
- Charge low fees: no equity research or stock selection to pay for
- Management cost is mainly fixed — as assets grow, economies of scale allow further fee cuts, attracting more inflows

Product summary	Fund facts						
As the industry's first index fund for individual investors, the 500 Index Fund is a low-cost way to gain diversified exposure to the U.S. equity market. The fund offers exposure to 500 of the largest U.S. companies, which span many different industries and account for about three-fourths of the U.S. stock market's value. The key risk for the fund is the volatility that comes with its full exposure to the stock market. Because the 500 Index Fund is broadly diversified within the large-capitalization market, it may be considered a core equity holding in a portfolio.	<table><tr><td>Asset class</td><td>Domestic Stock</td></tr><tr><td>Category</td><td>Large Blend</td></tr><tr><td>Expense ratio as of 04/28/2020</td><td>0.14% Save even more by investing in lower cost Admiral Shares or an ETF.</td></tr></table>	Asset class	Domestic Stock	Category	Large Blend	Expense ratio as of 04/28/2020	0.14% Save even more by investing in lower cost Admiral Shares or an ETF .
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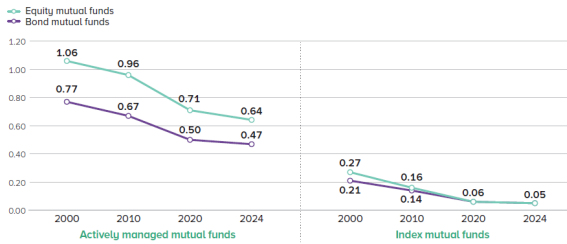
Vanguard 500 Index Fund

Index Funds Charge Much Lower Fees Than Active Funds

Average expense ratios of active funds have also declined over time — mainly due to competition from index funds and ETFs.

FIGURE 6.4

Average Expense Ratios of Actively Managed and Index Mutual Funds Have Fallen
Percent



Note: Expense ratios are measured as asset-weighted averages. Data exclude mutual funds available as investment choices in variable annuities.

Sources: Investment Company Institute, Lipper, and Morningstar. See *ICI Research Perspective*, "Trends in the Expenses and Fees of Funds, 2024."

Source: 2025 Investment Company Factbook

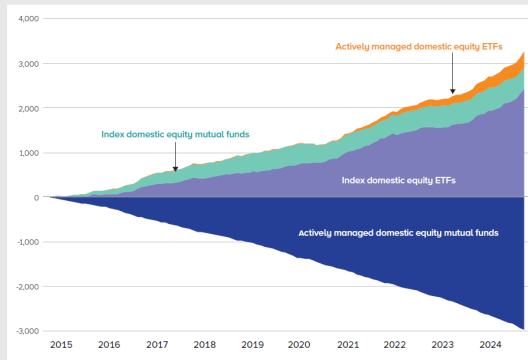
Passive vs. Active Investing

Type	Objectives
Passive	Seek to <i>match</i> the index benchmark. Hold securities for relatively long periods with infrequent changes. Markets are efficient — switching among securities is useless.
Active	Seek to <i>outperform</i> the index benchmark. Attempt to find mispriced stocks via fundamental or technical analysis. Some investors have comparative advantages in acquiring and analyzing information.

The Rise of Passive Investing

FIGURE
3.9

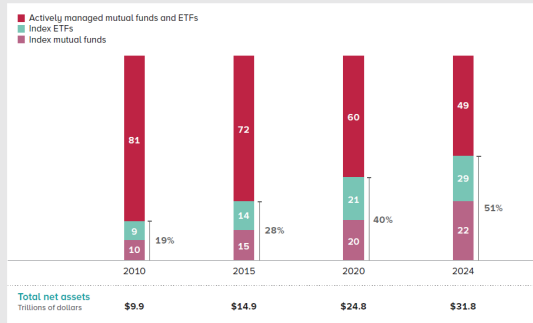
Some of the Outflows from Domestic Equity Mutual Funds Have Gone to ETFs
Cumulative flows to domestic equity mutual funds and net share issuance of domestic equity ETFs, billions of dollars, monthly



Note: Mutual fund data include net new cash flow and reinvested dividends; ETF data for net share issuance include reinvested dividends.

FIGURE
2.5

Index Funds Have Grown as a Share of the Fund Market
Percentage of long-term total net assets, year-end



Note: Data exclude money market funds. Data for ETFs exclude commodity ETFs.

Source: 2025 Investment Company Factbook

Buffett's Advice on Passive vs. Active

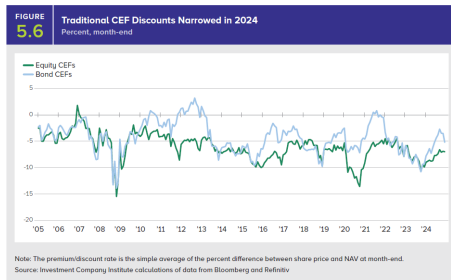
In his 2013 letter to shareholders, Buffett disclosed the advice given to the trustee managing his cash bequest to his partner:

"My advice to the trustee could not be simpler: Put 10% of the cash in short-term government bonds and 90% in a very low-cost S&P 500 index fund. (I suggest Vanguard's.) I believe the trust's long-term results from this policy will be superior to those attained by most investors — whether pension funds, institutions or individuals — who employ high-fee managers."

Closed-End Funds (CEFs)

Created by issuing a **fixed number** of common shares to investors in an initial public offering. Once issued, shares are bought and sold by investors on stock exchanges and are **not** purchased from or redeemed by the fund; the assets are professionally managed per the fund's objectives and policies.

The exchange price is set by demand and supply and may be greater or less than NAV:



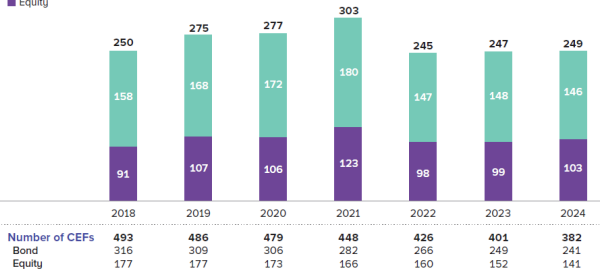
Source: 2025 Investment Company Factbook

Total Assets of Closed-End Funds

FIGURE
5.1

Total Assets of Traditional CEFs Have Stagnated in Recent Years and the Number of Traditional CEFs Has Significantly Decreased
Billions of dollars, year-end

■ Bond
■ Equity



Note: Total assets is the fair value of assets held in CEF portfolios funded by common and preferred shares less any liabilities (not including liabilities attributed to preferred shares).

Source: ICI Research Perspective, "The Closed-End Fund Market, 2024"

Source: 2025 Investment Company Factbook

Exchange-Traded Funds (ETFs)

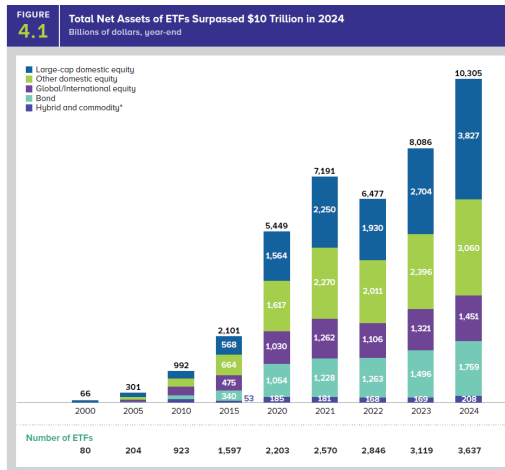
Like index funds, ETFs are generally designed to track a particular index (e.g., S&P 500) — but they trade on stock exchanges throughout the day and are highly liquid.

Uses: long-term asset allocation (advisors build diversified portfolios); intermediate-term sector rotation / tactical allocation (low-cost access to countries, sectors, assets); short-term speculation (quick position changes, short selling, leveraged positions).

ETFs vs. index funds:

- ETF shares trade on exchanges *intraday*, via brokers (commissions apply); redeemable from the fund itself only in very large blocks
- ETF price may differ from NAV: price reflects secondary-market demand/supply, NAV reflects the market value of underlying assets — **arbitrage keeps the two close**

Growth of ETFs

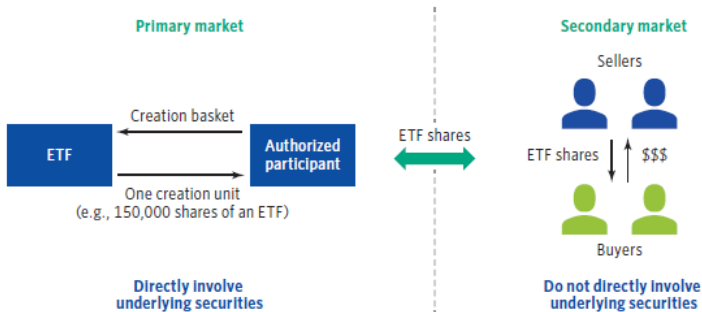


Source: 2025 Investment Company Factbook

Creation/Redemption of ETF Shares

FIGURE 3.3

Creation of ETF Shares



Note: The creation basket represents a specific list of securities, cash, and/or other assets.

Source: ICI 2026 Investment Company Fact Book (released April 27, 2026; 2025 data)

Comparing Different Types of Funds

	Closed-End Funds	Open-End Funds	Index Funds
Pros	Traded on exchange; can buy and sell any time the market is open	Fund size is unlimited; price = NAV	Passive investing; lower fees; lower turnover
Cons	Fund size is fixed; share price can deviate from NAV	Not listed on exchange; only one price (NAV) per day, after the market closes	Not listed on exchange; only one price (NAV) per day

What Is a Hedge Fund?

A **partnership** where investors pool money and a fund manager deploys it across a variety of assets using sophisticated investment techniques.

- Accessible only to accredited and/or institutional investors
- Can use leverage, take short positions, and hold long/short derivative positions
- Less strictly regulated by the SEC than mutual funds

Hedge funds seek **absolute returns** — exploiting opportunities while protecting principal — materially different from the mutual-fund manager, who is tied to an index benchmark.

Key Features of Hedge Funds

Organizational structure Private partnership in the U.S.: limited partners (investors) vs. general partners (fund manager)

Fee structure “2/20”: management fee of 2% of assets + performance fee of 20% of profits

Liquidity Initial 1–5 year lockup period with no redemptions; after lockup, some funds limit redemptions to once a quarter, and most require 15–90 days advance notice

Hedge Funds vs. Mutual Funds

	Hedge Fund	Mutual Fund
Transparency	Minimal disclosure of strategy and portfolio composition	Regulation requires public disclosure of strategy and portfolio composition
Investors	No more than 100 “sophisticated” and wealthy investors	Number not limited
Strategies	Very flexible and opportunistic; wide range of assets; often shorting, leverage, and derivatives	Predictable, stable strategies stated in prospectus; limited shorting, leverage, derivatives
Liquidity	Lock-up periods; advance redemption notices	Purchase or redeem shares daily
Compensation	Management fee 1–2% of assets + performance fee 15–20% of profits	Usually a fixed percentage of assets, typically 0.5%–1.25%

Assets Under Management by Hedge Funds

Global hedge fund AUM has grown substantially over the past decades, with notable dips around the 2008 global financial crisis and the 2020 COVID drawdown, before reaching a record \$4.54 trillion at end-2025 (HFR), with net inflows above \$300 billion — Prequin projects \$4.8–5.0 trillion by end-2026.



Source: HFR (Q4 2025); Prequin projections

Hedge Fund Strategies



Hedge Fund Strategies: Equity Hedge and Event-Driven

Equity hedge — combine long positions in expected outperformers with short positions in expected underperformers, net market exposure varying with manager conviction and risk assessment.

- Two alpha sources: security selection on both the long and short sides
- Leverage: gross exposure typically 150%–300% to amplify stock-specific returns

Event-driven — exploit price movements surrounding corporate events.

Sub-Strategy	Mechanism	Return Driver
Merger Arbitrage	Long target, short acquirer/index	Deal spread capture, completion probability
Special Situations	Restructurings, spin-offs, recapitalizations	Complexity premium, operational transformation
Activist Investing	Significant positions, governance engagement	Strategic redirection, operational improvement

Hedge Fund Strategies: The Remaining Families

Relative value arbitrage Seek to profit from pricing discrepancies between related securities, with neutral or limited market exposure

Macro & systematic Discretionary vs. systematic implementation

Multi-strategy platforms Autonomous investment teams with defined risk budgets within centralized oversight

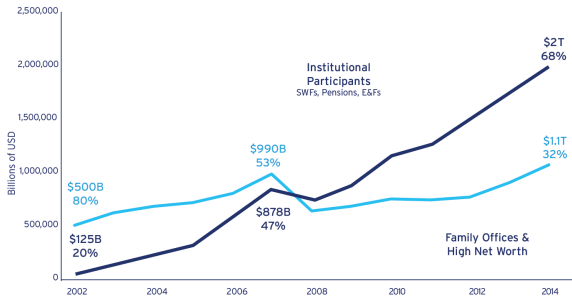
Approach	2025 Performance	Key Characteristics
Discretionary Macro	+11.5% average (strongest in 15 years) (With Intelligence)	Fundamental analysis, judgment-driven, event-responsive
Systematic Macro/CTA	-1.1% (HFRI index) (alternativefundinsight.com)	Trend-following, rules-based, model-dependent

Strategy-Based AUM Breakdown

Strategy Category	AUM (2025)	Market Share	2025 Return	Key Characteristics
Equity Hedge	\$1.57 trillion	~30.5%	+17.1%	Largest category; fundamental and quantitative approaches
Event-Driven	\$1.45 trillion	~28.2%	+10.9%	M&A, special situations, activist
Relative Value	\$1.35 trillion	~26.2%	+7.2%	Fixed income, credit, convertible arbitrage
Macro & Systematic	\$786.6 billion	~15.3%	+2.5%	Discretionary and systematic macro, CTA
Multi-Strategy (embedded)	~\$1.40 trillion	27.26%	Varies	Platform-based diversified approaches

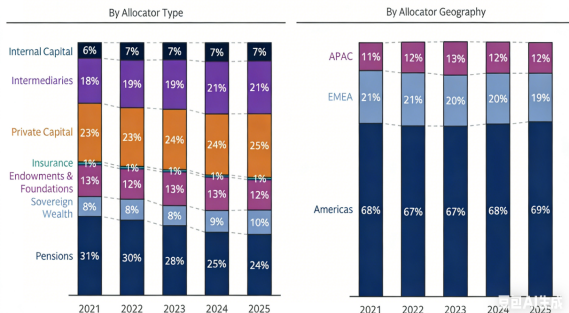
Who Are the Investors?

- Originally: primarily high-net-worth individuals (HNWI) and family offices
- Over time institutional investors grew — the post-GFC search for yield pushed money in
- Recently the trend reversed: private capital (family offices, HNWI) is again the largest source of hedge fund capital



Sources: Citi Business Advisory analysis based on HFR and eVestment data

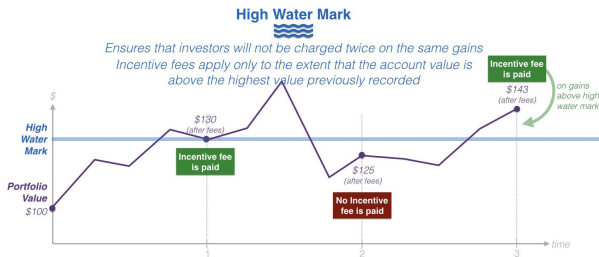
Figure 13: Composition of hedge fund investor base (% of total AUM in HFs), 2021-2025



Fee Structure in Hedge Funds

- Management fees** Computed as a percent of assets under management; run between 1% and 2%
- Performance (incentive) fees** A share of positive returns earned above a benchmark; the average is 20%, but varies substantially (Steve Cohen's SAC Capital charged 50%)
- Hurdle rate** A benchmark return that must be realized before a performance fee can be assessed
- High-water mark** No performance fee unless the fund's NAV exceeds the highest NAV previously recorded

High-Water Mark



The NAV increase from 125 to 130 in year 3 merely recovers a previous loss — only the increase from 130 to 143 is charged an incentive fee.

High-water marks can give managers an incentive to **shut down** a poorly performing fund: with deep losses, recovering the previous peak may be too difficult. This may explain the high failure rate of hedge funds — about 22% of funds operating in a year closed over the next three years (Morningstar).

Hedge Fund Fee Structure: Example

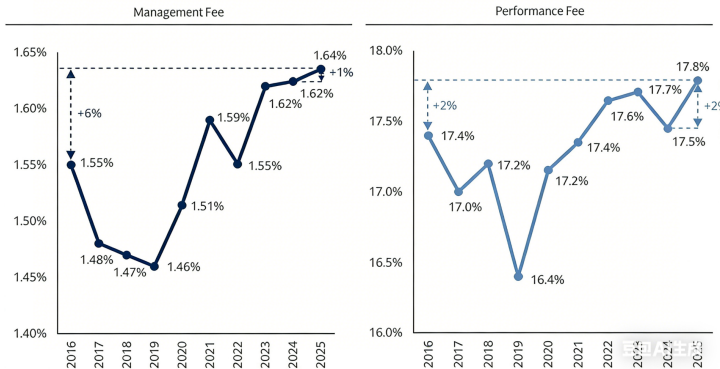
A hedge fund has \$1 million AUM, a “2 and 20” fee structure, and a 5% hurdle rate. Gross return this year: 20%. Performance fees are calculated on *gross* returns (not net of management fees).

- Management fee: $\$1,000,000 \times 2\% = \$20,000$
- Dollar return above the hurdle: $\$1,000,000 \times (20\% - 5\%) = \$150,000$ — the base against which incentive fees are charged
- Performance fee: $\$150,000 \times 20\% = \$30,000$

Total fees paid to the manager: $\$20,000 + \$30,000 = \$50,000$.

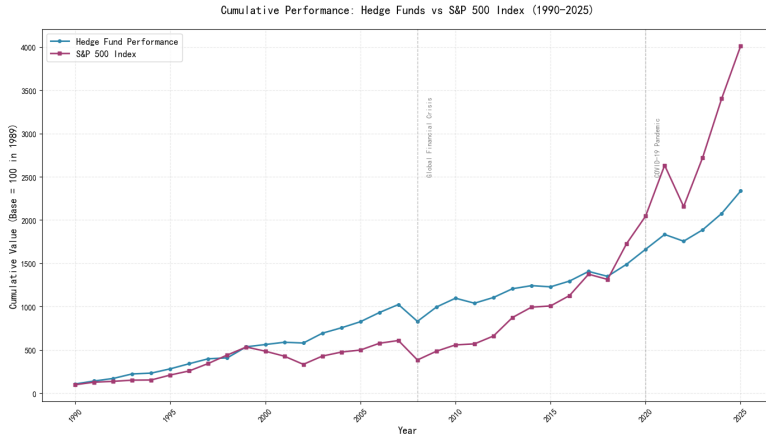
Hedge Fund Fee Structure

Figure 25: Average fees paid across hedge fund portfolios, 2016-2025



Source: KPMG, *Generation Alpha: The Hedge Fund Industry Landscape and Outlook for 2026*; Morgan Stanley, *Hedge Funds 2026 Outlook*

Hedge Fund Performance vs. S&P 500



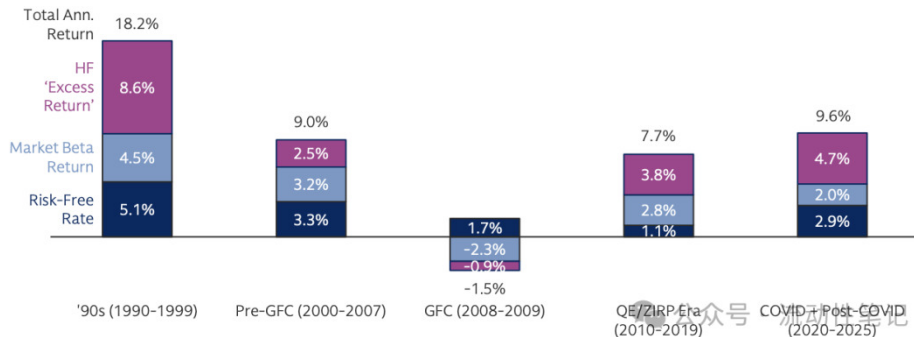
Source: Hedge Fund Research. Values indexed to 100 at end-1989 (cumulative growth of \$100 invested at the start of 1990).

Hedge Fund Performance: What the 36 Years Show

- **Long-term underperformance:** S&P 500 grew 100 → 4,011 (3,911% cumulative) vs. hedge funds 100 → 2,335 (2,235%)
- **Lower volatility, downside protection:** 2008 crisis — HFRI −19% vs. S&P 500 −37%; 2002 dot-com bust — HFRI −1.45% vs. S&P 500 −22.1%; in the volatile Q1 2026 (VIX above 50), HFRI +0.36% vs. S&P 500 total return −4.33%
- **Divergence periods:** comparable through the 1990s–early 2000s; S&P 500 pulled away dramatically post-2009 and kept widening the gap over 2015–2026 despite positive HF returns in most years (YTD 2026 through July: HFRI +6.25% vs. S&P 500 +10.1%)
- **Risk-adjusted view:** lower volatility may have delivered better risk-adjusted returns in turbulent periods — relevant for investors prioritizing capital preservation

Hedge Fund Performance Decomposition

Figure 5: Hedge fund returns decomposition by era



Source: KPMG, *Generation Alpha: The Hedge Fund Industry Landscape and Outlook for 2026*; Morgan Stanley, *Hedge Funds 2026 Outlook*

Warren Buffett's Hedge Fund Bet

BET 362

DURATION 10 years (02008-02017)

"Over a ten-year period commencing on January 1, 2008, and ending on December 31, 2017, the S&P 500 will outperform a portfolio of funds of hedge funds, when performance is measured on a basis net of fees, costs and expenses." [DETAILED TERMS »](#)



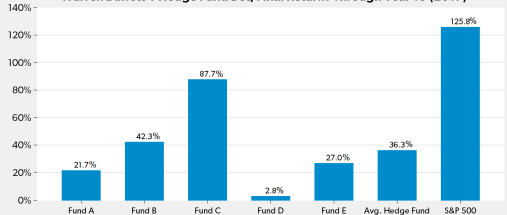
PREDICTOR
Warren Buffett

CHALLENGER
Protege Partners, LLC

STAKES \$2,222,278

will go to *Girls Incorporated of Omaha* if Buffett wins,
or *Friends of Absolute Return for Kids, Inc* if Protege Partners, LLC wins.

Warren Buffett's Hedge Fund Bet, Final Returns Through Year 10 (2017)



Source: Warren Buffett's Annual Letter to Shareholders, 2017

Carpe Diem The logo for the American Enterprise Institute (AEI), consisting of the letters "AEI" in a stylized font.

Source: longbets.org/362

Funds of Funds (FoFs) and Their Fees

FoFs are investment companies that invest in multiple hedge funds. They often have lower minimum investment thresholds than traditional hedge funds and can sell shares to a larger number of investors; they are supposed to provide due diligence in screening hedge funds for investment worthiness.

But: you pay *two layers* of fees — to the FoF and to each underlying hedge fund.

- The FoF pays an incentive fee to each underlying fund that beats its hurdle, *even if* aggregate performance is poor — diversification can hurt the investor here
- If the underlying funds use similar strategies, diversification may be an illusion

Incentive Fees in Funds of Funds: Example

A FoF invests \$1 million in each of three hedge funds. Hurdle rate: zero return. Each fund charges a 20% incentive fee. Gross return of the FoF: -5% .

- Any underlying fund with a positive return still collects its incentive fee
- The FoF **still pays incentive fees of \$0.12 for every \$3 invested**, despite losing money overall

	Fund 1	Fund 2	Fund 3	Fund of Funds
Start of year (millions)	\$1.00	\$1.00	\$1.00	\$3.00
End of year (millions)	\$1.20	\$1.40	\$0.25	\$2.85
Gross rate of return	20%	40%	-75%	-5%
Incentive fee (millions)	\$0.04	\$0.08	\$0.00	\$0.12
End of year, net of fee	\$1.16	\$1.32	\$0.25	\$2.73
Net rate of return	16%	32%	-75%	-9%

Key Takeaways

Investment companies Pool investor funds for diversification, professional management, and low minimums; priced at NAV

Mutual funds (open-end) Money market, equity, bond, sector, international types; returns via income distributions, capital gains distributions, NAV appreciation; front/back-end loads, 12b-1 fees, expense ratios — fees significantly impact long-term returns; passive investing is rising globally

Closed-end funds Fixed shares, traded on exchanges at a premium or discount to NAV

ETFs Index-fund features plus intraday trading; the creation/redemption arbitrage mechanism keeps price close to NAV; low-cost, flexible tools for allocation, rotation, or speculation

Hedge funds Private partnerships for accredited investors; leverage, shorting, derivatives; absolute-return objective; “2 and 20” with high-water mark; lower volatility and downside protection vs. S&P 500, but long-term absolute underperformance

Funds of funds Diversification across hedge funds, but two layers of fees